Meridian & Associates LLP

Tax Services Practice

Global Tax Compliance Program

Managing Corporate Tax Returns Across 80+ Jurisdictions
Methodology, Quality Controls & Technology Platform

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1. Executive Summary

Meridian & Associates LLP's Global Tax Compliance (GTC) program provides a centralized, technology-enabled framework for managing corporate income tax return filings across more than 80 jurisdictions worldwide. This program serves as the operational backbone of our international tax compliance practice, supporting over 1,400 multinational clients with aggregate annual filings exceeding 22,000 returns. Through rigorous quality controls, standardized processes, and an integrated technology platform, the GTC program has consistently maintained an amendment rate below 0.5% -- substantially below the industry average of 1.8%.

The program is designed to address the growing complexity of cross-border tax compliance, including the implementation of the OECD's Pillar Two Global Anti-Base Erosion (GloBE) rules establishing a 15% global minimum effective tax rate, expanded Country-by-Country Reporting (CbCR) requirements under BEPS Action 13, and the proliferation of real-time digital tax administration mandates across EMEA, APAC, and Latin American jurisdictions.

2. Global Compliance Calendar

Our standardized global compliance calendar is the cornerstone of the GTC program. The calendar is maintained in Thomson Reuters ONESOURCE Compliance and is organized into three tiers based on filing materiality and complexity:

2.1 Tier 1 -- Major Jurisdictions (Top 20 by Revenue)

Tier 1 jurisdictions represent approximately 85% of aggregate taxable income for our typical multinational client. These include the United States (federal and all material state filings), United Kingdom, Germany, France, Japan, China (PRC), Canada, Australia, India, Brazil, Mexico, Singapore, South Korea, the Netherlands, Switzerland, Italy, Spain, Sweden, Ireland, and the UAE. Each Tier 1 jurisdiction follows a detailed sub-calendar with the following milestones:

- T-120 days: Data collection kick-off -- engagement teams issue standardized data request lists to client controllers.
- T-90 days: Trial balance and permanent difference analysis -- statutory-to-GAAP reconciliation initiated.
- T-60 days: Draft return preparation -- ONESOURCE population and initial computational review.
- T-45 days: First-level technical review by senior manager or director.
- T-30 days: Signing partner review and approval, including cross-border consistency check.
- T-14 days: Client review package distributed -- includes summary of positions, effective tax rate analysis, and filing instructions.
- T-7 days: Final quality control checkpoint -- automated diagnostic review and peer comparison.
- T-0: Authorized electronic filing or dispatch to local counsel for manual submission.

2.2 Tier 2 -- Secondary Jurisdictions (21-50)

Tier 2 jurisdictions follow a streamlined calendar with four key milestones: data request, draft preparation, technical review, and filing. These returns are typically prepared by our Global Delivery Center (GDC) teams in Hyderabad and Krakow (see common_firm_wide/global_delivery_network.pdf for GDC operations, capacity, and service-level commitments), with oversight from in-country Meridian offices. Tier 2 includes jurisdictions such as Poland, Czech Republic, Thailand, Vietnam, Colombia, Chile, South Africa, Israel, Norway, and Denmark.

2.3 Tier 3 -- Ancillary Jurisdictions (51-80+)

Tier 3 filings are managed through our Correspondent Firm Network (CFN), a curated network of 50+ local tax practices that operate under Meridian quality standards. Engagement oversight is maintained by the GTC central coordination team. Returns are subject to the same quality control diagnostics as Tier 1 and 2 filings, with additional translation and local-practice review steps.

3. Three-Tier Review Process

Every corporate income tax return prepared under the GTC program is subject to our mandatory three-tier review framework. This process is designed to ensure technical accuracy, consistency with prior-year positions, and compliance with both local statutory requirements and the client's global tax strategy.

3.1 Level 1 -- Preparer Self-Review

The preparer completes a standardized self-review checklist covering 47 verification points, including mathematical accuracy, proper sourcing of trial balance data, correct application of tax rates (including any interim rate changes enacted during the tax year), and consistency with the Master File and Local File transfer pricing documentation (see M&A-TAX-TPF-002 for the firm's Transfer Pricing Advisory Framework). The preparer must also run the ONESOURCE Diagnostic Suite, which performs 200+ automated checks for common errors such as misclassified deductions, incorrect carryforward amounts, and missing disclosure items.

3.2 Level 2 -- Technical Reviewer

An experienced manager, senior manager, or director conducts a substantive technical review focusing on: (i) proper application of local tax law provisions, including recent legislative changes; (ii) consistency with transfer pricing benchmarking studies and intercompany agreements; (iii) correct treatment of permanent and temporary differences; (iv) adequacy of uncertain tax position disclosures under ASC 740-10 (where the client reports under US GAAP); and (v) compliance with any Advance Pricing Agreement (APA) or ruling conditions. The reviewer documents all findings in the electronic workpaper system and must clear all items before the return advances to Level 3.

3.3 Level 3 -- Signing Partner

The signing partner performs a top-level review concentrating on material positions, overall effective tax rate reasonableness, cross-border consistency (e.g., correlative adjustments, withholding tax reclaims), and alignment with the client's documented tax risk appetite. The partner also confirms that the return is consistent with the information reported in the CbCR Master File and that any Pillar Two top-up tax exposure has been identified and communicated to the client's tax department.

4. Technology Platform -- ONESOURCE Integration

The GTC program is built on Thomson Reuters ONESOURCE as the primary compliance technology platform, supplemented by proprietary Meridian tools and integrations:

- ONESOURCE Income Tax (federal and international modules) -- core return preparation engine supporting 70+ country forms.
- ONESOURCE DataFlow -- automated data ingestion from client ERP systems (SAP, Oracle, Workday), eliminating manual data entry for 85% of trial balance line items.
- ONESOURCE Tax Provision -- integrated provision-to-return reconciliation ensuring consistency between ASC 740 workpapers and filed returns.
- Meridian GlobalView Dashboard -- proprietary Power BI analytics layer providing real-time visibility into filing status, reviewer assignments, and approaching deadlines across all jurisdictions.
- Meridian DiagnosticAI -- machine learning model trained on 10 years of historical return data to flag anomalous positions, unusual effective tax rate movements, and potential computational errors before human review.

5. BEPS Compliance -- CbCR and Pillar Two

5.1 Country-by-Country Reporting

For clients with consolidated group revenue exceeding EUR 750 million (or local currency equivalent), the GTC program includes preparation and filing of CbCR reports in accordance with BEPS Action 13 and local implementing legislation. Our CbCR process includes:

- Automated data extraction from consolidation systems to populate Table 1 (allocation of income, taxes, and business activities by jurisdiction) and Table 2 (list of constituent entities).

- Consistency validation between CbCR data, filed tax returns, and consolidated financial statements -- discrepancies exceeding materiality thresholds trigger mandatory review.
- Surrogate filing and notification tracking -- monitoring which jurisdictions require primary vs. surrogate filings, including compliance with exchange-of-information agreements.
- Annual CbCR risk assessment identifying jurisdictions where reported data may attract enhanced scrutiny from local tax authorities.

5.2 Pillar Two GloBE Rules -- 15% Minimum Tax

The Pillar Two GloBE rules require in-scope multinational groups to calculate a jurisdictional effective tax rate (ETR) and pay a top-up tax where the ETR falls below 15%. The Income Inclusion Rule (IIR) is effective for fiscal years beginning on or after December 31, 2023; the Undertaxed Profits Rule (UTPR) is effective for fiscal years beginning on or after December 31, 2024. The GTC program has been enhanced to include:

- Jurisdictional ETR computation using the GloBE Income and Covered Taxes framework, including adjustments for timing differences, stock-based compensation, and excluded dividends.
- Substance-based income exclusion (SBIE) calculations -- payroll and tangible asset carve-outs by jurisdiction.
- Qualified Domestic Minimum Top-up Tax (QDMTT) analysis for jurisdictions that have adopted domestic top-up mechanisms (e.g., UK, EU member states, South Korea, Japan).
- Transitional safe harbor assessments under the CbCR and simplified ETR tests to minimize compliance burden during the initial implementation period.
- Integration of top-up tax estimates into quarterly ASC 740 provision calculations for US GAAP reporting clients.

6. Quality Control & Performance Metrics

The GTC program is subject to continuous quality monitoring against the following key performance indicators (KPIs), reported monthly to the Tax Services Executive Committee:

Amendment Rate:

< 0.5% of filed returns requiring amendment (FY2025 actual: 0.37%)

On-Time Filing Rate:

> 99.5% of returns filed by statutory deadline (FY2025 actual: 99.8%)

Client Satisfaction:

> 4.5/5.0 on post-engagement survey (FY2025 actual: 4.7/5.0)

Diagnostic Pass Rate:

> 98% of returns passing all automated checks on first submission (FY2025 actual: 98.4%)

Review Cycle Time:

< 5 business days from draft completion to partner sign-off for Tier 1 returns

Root cause analysis is performed on every amended return, with findings incorporated into the annual update of preparer training materials and diagnostic rules. The GTC quality assurance team conducts quarterly cold reviews of a random 5% sample of filed returns, with results reported to the National Office of Tax Quality.

> ***Note: Effective Q2 2026, all GTC returns will be subject to enhanced Pillar Two consistency checks as part of the ONESOURCE Diagnostic Suite upgrade (Release 26.1).***